

ALAB pitch deck

PITCH — ALAB — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no orders, no entry at \$303.44; both review teams land on reject, and the one honest reopen trigger is Credo's 2026-09-01 guide, not anything Astera itself is scheduled to do.

What we believe

Astera Labs makes connectivity silicon that sits between AI accelerators and the rest of a data-center rack. It is fabless — TSMC makes the wafers, outside houses do assembly and test — so it carries almost no factory risk. Capital spending in the first half of 2026 was \$28.1M, about 4.0% of revenue.

The business is growing very fast and it is genuinely cash-generative. First-half 2026 revenue was \$700.8M, up 99.4% year over year. Operating cash flow was positive in every reported period. Trailing-twelve-month revenue is \$1,201.9M, operating cash flow \$335.7M, capital spending \$59.0M, free cash flow \$276.7M.

But we do **not** believe this is a buy here, and we did not arrive at that by disliking the company. We arrived at it because the reason ALAB was on our desk at all turned out to be wrong. ALAB entered this review as a *comparison name* — the “clean” one — in an argument that the market had unfairly punished Credo (CRDO) on 2026-08-18 while sparing Astera. That argument does not survive. Once it fails, ALAB has to stand on its own, and on its own it is a very expensive stock whose cash conversion is compressing.

Two things we now believe with high confidence:

1. **The original comparison was not a fair one.** Astera had already reported (8-K on 2026-08-04, 10-Q on 2026-08-05) and had already taken its punishment — a single session of −11.96%, from 361.67 to 318.43. Credo had *not* reported; it reports 2026-09-01 after the close, for a quarter that ended 2026-08-01. A company that has already told you its results and a company nine sessions away from telling you are not comparable on any single day.
2. **The one-day gap was mostly a giveback, not a verdict.** Credo rose 8.82% on 2026-08-17 (259.90 → 282.82) the day before the comparison, while Astera was −0.45%. Measure two sessions instead of one and Credo actually fell *less*: −5.36% versus Astera's −5.65%. Measure three and Credo is worse, but by 1.5 points, not 7.8. The headline gap lives almost entirely in one closing bar.

On the company itself: cash conversion is decompressing. Operating cash flow as a share of revenue ran 33.9% (Q3'25), 35.2% (Q4'25), 24.2% (Q1'26), 22.3% (Q2'26). Trailing free cash flow is 23.0% of revenue; the audited FY2025 figure was 33.1%. Stock compensation is \$112.9M in the first half, 16.1% of

revenue and up 44.9% year over year, so free cash flow after paying employees in stock is \$21.3M for the half — 3.0% of revenue.

At \$303.44 on roughly 183.34M diluted shares, the company is worth about \$55.6B, or 46× trailing revenue, 202× trailing free cash flow, and 681× free cash flow after stock compensation. (Cash is not subtracted from that market value; doing so would move it by roughly 1.6%.)

What the market believes

The market is paying 46× revenue, which is not a price you pay for cash conversion. It is a price you pay for a belief about the size of the end market and Astera’s durable position inside it — that AI rack build-outs keep compounding and that Astera’s connectivity content per rack rises with them. At that multiple, the marginal buyer is underwriting a revenue curve several years out and treating current-year cash flow as almost irrelevant.

The market also does not appear to be alarmed by the compression we just described. The stock is 39.2% below its 52-week high of \$499.48 but 2.1% above its 52-week low of \$97.89 — so the drawdown is real, but from an enormous base. The 2026-08-04/05 report produced one –12% session and then stabilized; there is no evidence of a rolling repricing.

Insiders have been steady sellers: eight Form 4s and five Form 144s in 47 days (144s on 7/1 ×4 and 8/6; 4s on 6/26, 7/2, 7/6 ×3, 7/22, 8/10). We did not pull the share counts, so we can describe the *pattern* but not the *size*.

Why we might have edge

Honestly: on ALAB specifically, thin. The genuine edge produced by this review is negative-knowledge — we now know an argument that looked good is wrong, and we know it before putting money behind it. That is worth something, but it is not a position.

The three places where we may know something the consensus write-up does not:

- **The comparison-day arithmetic.** Almost nobody who cited the 2026-08-18 move gap checked whether Credo had spiked 8.8% the day before. We did, and that reframes the whole event as an unwind rather than a repricing.
- **The event-position asymmetry.** Ranking peers on a single day when one has reported and one has not is a repeatable error. We now have it written down as a rule.
- **Cash quality decomposition on a matched basis.** Comparing Astera’s audited FY2025 conversion (33.1%) against Credo’s trailing-twelve-month conversion is apples to oranges. Put both on trailing twelve months and Astera converts 23.0% against Credo’s 30.5% — the “clean” name converts *worse*. That inversion is not in the narrative anywhere.

Why it might be priced in

Most of it is. The stock is classified as heavily-covered and heavily-owned — this is a widely followed \$55B AI name, not something under a rock. Specifically:

- The compression in cash conversion is visible in a 10-Q filed 2026-08-05 that any analyst can read. It is not hidden.
- The stock compensation load is disclosed quarterly.
- The -12% reaction on 8/04-8/05 says the market already processed the quarter and the guide.
- The 46× revenue multiple means the buyer has already decided conversion is not the variable. If conversion doesn't sort the buyer, our conversion work doesn't produce an edge either — it produces an explanation.

The one thing that may *not* be priced is the China exposure. The 10-Q separately discloses revenue by country including China, and we never pulled the actual numbers or the customer-concentration note. For a company selling into hyperscaler-adjacent hardware, an export-control cliff there would matter more than anything argued above. We flagged this and did not close it. That is our biggest open gap, and we are stating it rather than burying it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
ALAB converts 33.1% of revenue to free cash flow	SEC XBRL company-concept series: operating cash flow, capital spending, revenue	FY2025 audited: $\$319.306\text{M} - \$37.544\text{M} = \$281.762\text{M} \div \$852.525\text{M} = \mathbf{33.05\%}$. Trailing twelve months: $\$335.7\text{M} - \$59.0\text{M} = \$276.7\text{M} \div \$1,201.9\text{M} = \mathbf{23.02\%}$. Both are correct on their own window.	YES — with a bench error. Our red team tagged 33.1% as “refuted, fatal, wrong data.” It was not wrong; it was the audited FY2025 figure. The real defect was that we used FY2025 for Astera and trailing-twelve for Credo. Fixed on a matched basis: ALAB 23.0% vs CRDO 30.5% — which <i>strengthens</i> the case red was hired to kill.
First-half free cash flow fell while revenue doubled	Quarterly operating-cash-flow decomposition, same six-month basis both years	Arithmetic confirmed: $\$139.3\text{M} \rightarrow \134.2M , -3.7%, on revenue +99.4%.	PARTLY — with a bench error. The comparison base is distorted: Q1’25 operating cash flow was \$10.5M (6.6% of revenue) and Q2’25 was \$135.4M (70.5% of revenue) — one working-capital quarter carries the entire base. Red also labeled this “the

Claim	How checked	Found	Confirmed?
			same cash inversion as FN/COHR,” which is wrong: those names doubled capital spending or ran negative operating cash flow. Astera’s capital spending is 4.0% of revenue and operating cash flow rises in dollars every half. Real finding: an ~11-point conversion decompression. Not a cash inversion.
Free cash flow after stock compensation is 3.0% of revenue	XBRL stock-compensation series	H1’26 SBC \$112.9M, +44.9% YoY, 16.1% of revenue. FCF net of SBC \$21.3M for the half; \$81.7M trailing. Diluted shares 178.1M → 183.3M, +2.9%.	YES — with a bench error. The numbers are right. But red applied the stock-compensation haircut to Astera and not to Credo inside a two-name comparison, and Credo’s is also mid-teens percent of revenue. A one-sided adjustment cannot rank a pair.
ALAB’s -5.22% on 8/18 was “noise,” so the comparison proves nothing	Yahoo daily closes, 21 returns, 7/20–8/18, computed independently on both teams	ALAB daily volatility 7.204% (so -5.22% is -0.73 standard deviations). Credo’s volatility over the identical window is 7.082% — matched within 0.12 points. Credo’s -13.03% is -1.84 standard deviations. The gap survives normalization at 1.11 standard deviations.	NO — bench error, our own. Red compared Astera against zero instead of against Credo. Adjusting for volatility changes nothing here because the two volatilities are effectively identical. This objection is void.
ALAB was post-report and CRDO pre-report on the comparison day	EDGAR filing list + price series + Credo’s scheduling release	ALAB: 8-K 2026-08-04, 10-Q 2026-08-05, and a -11.96% session (361.67 → 318.43) inside that window. CRDO: reports 2026-09-01 after close for a quarter ended 2026-08-01.	YES — and this is the load-bearing kill. It survives every cash-flow correction above. Both teams agree.
CRDO “filed nothing and had no company event”	Independent Yahoo pull of the Credo series (red pulled only Astera)	Credo closed +8.82% on 8/17 (259.90 → 282.82) while Astera was -0.45%. Two-session round trip from 8/14: ALAB -5.65% vs CRDO -5.36% — Credo fell less. Three sessions: ALAB	NO — the premise is false. A +8.8% session in a covered \$40B semiconductor name is an event. The headline gap exists

Claim	How checked	Found	Confirmed?
		–5.99% vs CRDO –7.53% — Credo worse, but by 1.5 points, not 7.8.	only in a one-day window ending on a giveback.
Market value and multiples	183.34M diluted × \$303.44	\$55.6B; 46.3× trailing sales, 202× trailing free cash flow, 681× free cash flow after stock compensation. Cash not netted (~1.6% effect).	YES — with a self-contradiction we should name. Red argued both “the multiple is too high for conversion to matter” and spent three findings litigating conversion. Both cannot be load-bearing.
The Anthropic \$65bn-vs-\$85bn spending figure driving the sector move	Attempted primary sourcing	No primary source reachable by either team.	NO — unverified. It carries no weight in either direction.
The 8/04 quarterly guide (the number the Street is actually trading)	Not attempted	Never extracted from the 8-K.	NO — open gap. Neither team closed it. Our fair-value work has no external anchor.
China revenue and customer concentration	Not attempted	The 10-Q discloses country-level revenue including China; we never pulled the table, the concentration note, or a restricted-party cross-check.	NO — open gap, and the largest one.
Insider selling magnitude	Filing index only	Pattern confirmed (8 Form 4s, 5 Form 144s in 47 days). Share counts never pulled — the underlying documents were not fetched.	NO — pattern confirmed, size unknown.

Primary source for the cash figures:

<https://data.sec.gov/api/xbrl/companyconcept/CIK0001736297/us-gaap/NetCashProvidedByUsedInOperatingActivities.json> (also revenue, capital spending, and stock compensation at the same path pattern). These were fetched through a proxy because sec.gov blocked us directly; the values reconcile to the FY2025 10-K and the 2026-08-05 10-Q.

PROPOSED ENTRY BANDS

There is no entry. Both teams say reject, and neither produced a fair value. The comparison thesis that brought ALAB here is dead; the standalone long was never argued. Buying now would mean paying 46× revenue on the strength of an argument we just disproved.

Position: 0% of book. No orders staged, none to unwind.

Because we have no fair value, the levels below are **arithmetic, not valuation** — they are trailing-twelve-month revenue (\$1,201.9M) divided across 183.34M diluted shares at stated multiples. They are

re-examination triggers, not bids. We would not buy at any of them without doing the valuation work first.

Reopen conditions — any ONE reopens the file; none is a buy signal by itself:

1. **Event trigger (primary): Credo's 2026-09-01 after-close report and guide.** This is the actual re-court trigger both teams named. If Credo guides and the connectivity group reprices on real information, the comparison can be rerun on matched event position for the first time.
2. **Price trigger: ALAB below \$196.70** — 30× trailing revenue, -35.2% from \$303.44. At that level the multiple is low enough that cash conversion could plausibly become the sorting variable, which is the precondition for our conversion work to be worth anything.
3. **Deeper price trigger: ALAB below \$163.90** — 25× trailing revenue, -46.0% from here. This sits above the 52-week low of \$97.89 and roughly a third below the current price. Full valuation work owed before any bid.
4. **Fundamental trigger: operating cash margin re-expands above 30% for two consecutive quarters** (it ran 35.2% → 24.2% → 22.3%). That would falsify the decompression finding and change the standalone case.
5. **Fundamental trigger the other way: China revenue disclosure or a restricted-party finding.** If we pull the geographic table and find material China concentration with export-control exposure, this becomes a short candidate to court, not a long.

Trims / exits: none applicable — we own nothing.

Catalyst dates: - 2026-09-01, after close — Credo reports. Company-scheduled; sourced from Credo's own scheduling release via a republisher, not fetched from Credo's domain directly. Quarter already ended 2026-08-01. - **2026-11-03 — Astera's next report. UNCONFIRMED.** This is derived from a data vendor, not from a company announcement. It is consistent with the 10-Q filed 2026-08-05 for the quarter ended 2026-06-30, which puts the next print roughly eleven weeks out. Treat as approximate until Astera issues a scheduling release. - **No Astera event within five trading days.** Nothing to position around here.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 163.9 (deck-provisional: 25x TTM revenue — deeper re-examination level; full valuation work owed before any bid)
- filing watch: 8-K until 2027-02-14 (deck-provisional: ALAB guidance revisions, customer or management announcements; also retroactively extract the 2026-08-)
- dated pack ALAB|2026-09-01: ALAB: Credo (CRDO) reports after close for quarter ended 2026-08-01 — the explicit re-court trigger for this file (date confirmed=True)
- dated pack ALAB|2026-11-03: ALAB: Astera Labs next quarterly report — vendor-derived, not company-announced (date confirmed=False)

What remains unverified

Stated plainly, including the things that would have changed the answer:

1. **The 2026-08-04 quarterly guide.** Never extracted. This is the load-bearing Street number for the period being argued about. Everything above is anchored to reported history with no forward anchor beside it.
2. **China revenue and customer concentration.** The 10-Q breaks out China; we never read the values or the concentration note, and never ran a restricted-party check. Largest single unknown on the name.
3. **Whether the cash-conversion decompression is benign.** Untested. If receivables and inventory days are flat and the shortfall is a growth-funded working-capital build, the finding is nearly meaningless. If days are stretching, it is serious. We do not know which.
4. **The cause of Credo's +8.82% move on 2026-08-17.** The move is confirmed on the price series. The reason is not sourced. Our whole "it was a giveback" reframe depends on that spike being a real event rather than a data artifact — the price is verified, the story is not.
5. **The Anthropic spending figure (\$65bn vs a rumored \$85bn).** No primary source reachable. It bears no weight in this deck and should bear none anywhere else until sourced.
6. **Insider selling magnitude.** Pattern confirmed, share counts never pulled.
7. **Astera's 2026-11-03 report date.** Vendor-derived, not company-confirmed.
8. **Share count precision.** We used 183.34M diluted. The cover-page count as of 2026-07-31 in the 10-Q was never pulled. Minor, but it feeds every multiple above.
9. **Price rail.** Our broker price feed was permission-blocked this session; both teams used Yahoo. The two anchors (\$303.44 ALAB, \$245.97 CRDO) match the evidence pack, so we believe them, but they are not from our primary rail.
10. **Whether a matched-event-position comparison would show anything.** Genuinely unknown. The only honest way to find out is to rerun it after 2026-09-01, which is exactly what reopen trigger #1 says.

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